

Contents

1	General Management	2
1.1	Management Science	2
1.1.1	1. Investor Reliance on ESG Ratings and Stock Price Performance	2
1.1.2	2. Deciphering Greenium: The Role of Investor Demand	2
1.1.3	3. The Age Gap in Mortgage Access	3
1.1.4	4. Can Stablecoins Be Stable?	3
1.1.5	5. Is There a Macro-Announcement Premium?	3
1.1.6	6. Spreading the Style: Firm Leaders' Early Life Experiences and Employees' Behavior and Performance	4
1.1.7	7. Portfolio Dynamics and the Supply of Safe Securities	5
1.1.8	8. Crypto Carry	5
1.1.9	9. Soft Collateral, Bank Lending, and the Optimal Credit Registry	5
1.1.10	10. The Information Content of Commodity Futures Markets	6
1.1.11	11. Before the Storm: Firm Policies and Varying Recession Risk	6
1.1.12	12. Product Variety and Asset Pricing	7
1.1.13	13. Choosing Scenarios to Estimate Resilience and Stress Test Financial Institutions	7
1.1.14	14. Collaboration, Workplace Practice Adoption, and Performance: Evidence from a Field Experiment	8

General Management

Management Science

1. Investor Reliance on ESG Ratings and Stock Price Performance

Authors: Aleksandra Rzeźnik, Kathleen Weiss Hanley, Loriana Pelizzon

DOI: [10.1287/mnsc.2024.08288](https://doi.org/10.1287/mnsc.2024.08288)

Department: Finance

Published: 2026-05-29

Fields & Theories:

- **Fields:** Finance, Sustainable Finance, Behavioral Finance, Corporate Governance
- **Theories:** Market Efficiency, Information Asymmetry, Behavioral Bias, Signaling Theory

Abstract:

We exploit a quasi-natural experiment, the change in Sustainalytics' environmental, social, and governance (ESG) rating methodology, which reassesses risk and inverts the rating scale, to examine how reliance on ESG ratings impacts stock returns. The change in the ESG rating influences stocks' returns, but this is due to retail investors' misinterpretation about the change in the ratings scale. Sophisticated investors, such as 13F institutions and short sellers, take advantage of individual investors' blind trust in ratings by taking the opposite side of their trades. Our results highlight the potential for blind reliance on ESG ratings that can generate mispricing and inefficiencies, especially among less informed market participants. This paper was accepted by *Camelia Kuhnen, finance*. Funding: This work was supported by Growing Resilient, INclusive and Sustainable (GRINS) [GRINS PE00000018 - CUP H73C22000930001]; European Commission as part of ESG UPTAKE project [101145727]; and Progetti di ricerca di Rilevante Interesse Nazionale (PRIN) as part of the National Recovery and Resilience Plan (PNRR) [CUP H53D23002190006 and CUP H53D23008390001]. L. Pelizzon thanks the Leibniz Institute for Financial Research SAFE and the European Investment Bank Institute for EIBURS Project "ESG-Credit.eu-ESG Factors and Climate Change for Credit Analysis and Rating" for financially sponsoring this research. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.08288>.

□ Rzeźnik - Investor Reliance on ESG Ratings and Stock Price Performance.pdf

2. Deciphering Greenium: The Role of Investor Demand

Authors: Liying Wang, Juan (Julie) Wu

DOI: [10.1287/mnsc.2024.05106](https://doi.org/10.1287/mnsc.2024.05106)

Department: Finance

Published: 2026-05-27

Fields & Theories:

- **Fields:** Finance, Sustainable Finance, Capital Markets, Environmental Economics
- **Theories:** Investor-Tastes Models, Supply and Demand, Price Sensitivity

Abstract:

Using security-level bookbuilding data, we examine the pricing dynamics and demand of green bond offerings (GBOs) relative to their conventional counterparts. We show that greenium arises from ESG-focused investors' almost exclusive demand for GBOs. GBOs typically receive significantly larger order books, allowing underwriters to compress offering spreads more for GBOs than for comparable conventional offerings. Even at the same level of investor demand, underwriters tighten spreads more for GBOs, suggesting that ESG-focused investors exhibit lower price sensitivity. These results remain robust when we proxy for ESG-focused investor demand in the primary market using their holdings of similar bonds in the secondary market. Further analyses rule out the temporary price pressure or liquidity preference explanations. Our study provides direct evidence to support investor-tastes models. This paper was accepted by Prof. Bo Becker, finance. Supplemental Material: The data files are available at <https://doi.org/10.1287/mnsc.2024.05106>.

3. The Age Gap in Mortgage Access

Authors: Natee Amornsiripanitch

DOI: [10.1287/mnsc.2024.08264](https://doi.org/10.1287/mnsc.2024.08264)

Department: Finance

Published: 2026-05-27

Fields & Theories:

- **Fields:** Finance, Household Finance, Real Estate Finance, Consumer Behavior
- **Theories:** Information Asymmetry, Risk-Based Pricing, Search Theory, Life-Cycle Theory

Abstract:

This paper uses a large data set of single family home mortgage applications to study the relationship between borrower age and application outcomes. Conditional on a rich set of observable characteristics, age is positively correlated with rejection probability and coupon rate. The results hold for young borrowers, implying that age, not just old age, is an important determinant of mortgage application outcomes. Empirical tests that exploit COVID-19 suggest that the rejection probability results are partly driven by age-related mortality risk. Survey data suggests that the pricing results are partly driven by insufficient shopping. This paper was accepted by Tomasz Piskorski, finance. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.08264>.

□ Amornsiripanitch - The Age Gap in Mortgage Access.pdf

4. Can Stablecoins Be Stable?

Authors: Adrien d' Avernas, Vincent Maurin, Quentin Vandeweyer

DOI: [10.1287/mnsc.2024.06992](https://doi.org/10.1287/mnsc.2024.06992)

Department: Finance

Published: 2026-05-26

Fields & Theories:

- **Fields:** Finance, Financial Technology, Blockchain Economics, Monetary Economics
- **Theories:** Contract Theory, Commitment Problem, Game Theory, DeFi Protocol Mechanisms

Abstract:

This paper provides a general model of stablecoins, cryptocurrencies pegged to a traditional currency. We characterize the optimal design of a stablecoin protocol that generates seigniorage fees from issuance. We use this framework to assess the ability of various protocol designs to maintain the peg. Our model rationalizes algorithmic backing of stablecoins but highlights its greater fragility relative to collateralization. Immutable smart contracts improve stability because the issuer suffers from a commitment problem. Even under full collateralization, promises to repurchase stablecoins when demand drops are not credible. Alternatively, the protocol can restore commitment by decentralizing issuance, and this highlights a new benefit of DeFi protocols. This paper was accepted by Will Cong, finance. Supplemental Material: The online appendix is available at <https://doi.org/10.1287/mnsc.2024.06992>.

□ d' Avernas - Can Stablecoins Be Stable.pdf

5. Is There a Macro-Announcement Premium?

Authors: Mohammad Ghaderi, Sang Byung Seo

DOI: [10.1287/mnsc.2024.06960](https://doi.org/10.1287/mnsc.2024.06960)

Department: Finance

Published: 2026-05-15

Fields & Theories:

- **Fields:** Finance, Asset Pricing, Macro-Finance, Financial Econometrics
- **Theories:** Efficient Market Hypothesis, Risk Premium, Monetary Policy Transmission

Abstract:

The conditional return volatility barely drops at macro-announcements. This is at odds with the notion that high announcement returns are a manifestation of a large announcement premium. We show that models with an announcement premium cannot fully explain the joint patterns of returns and volatility over announcement days. Surprisingly, traditional models, which do not feature such a premium, can. Our estimation results based on a statistical setup indicate that the average announcement return is mostly attributable to the monetary policy surprise and pure small-sample components, which do not average out in-sample; the announcement premium is estimated to be small. This paper was accepted by Lukas Schmid, finance. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.06960>.

□ Ghaderi - Is There a Macro-Announcement Premium.pdf

6. Spreading the Style: Firm Leaders' Early Life Experiences and Employees' Behavior and Performance

Authors: Nan Jia, Yongxiang Wang, Rongrong Xie, Nianhang Xu

DOI: [10.1287/mnsc.2024.09097](https://doi.org/10.1287/mnsc.2024.09097)

Department: Business Strategy

Published: 2026-05-13

Fields & Theories:

- **Fields:** Strategic Management, Organizational Behavior, Corporate Governance
- **Theories:** Upper Echelons Theory, Imprinting Theory, Behavioral Theory of the Firm

Abstract:

Leaders shape firm strategy not only through the decisions they make directly, but also through influencing employees' workplace behavior. We argue that leaders' formative life experiences, which shape personal traits, can influence employee behavior and work performance. Using detailed data from Chinese securities firms, we examine the impact of chairpersons' experiences as "sent-down youths" (SDYs) during China's Cultural Revolution, which instilled in them a strong work ethic in the face of adversity. We argue that SDY chairpersons encourage security analysts to increase efforts to improve the accuracy of earnings forecasts for the publicly listed firms they follow. We show that when the same analyst experiences a change in chairperson within the same securities firm—from one without any SDY experience to one with SDY experience (both within the same cohort)—their forecast accuracy for the same listed firm increases. Specific actions, such as conducting site visits to gather company information firsthand, contribute to improving forecast accuracy. We find that analysts led by SDY chairpersons are more likely to conduct site visits, visit more companies for the first time, visit companies located in less-accessible areas, ask more targeted questions during site visits, and update forecasts promptly after major events. To strengthen causal inference, we employ fixed effects, examine various types of chairperson turnovers, and employ instrumental variable approaches and placebo tests. Our study suggests that, through influencing employee behavior, the "style" of a firm leader spreads far within an organization. This paper was accepted by Alfonso Gambardella, business strategy. Funding: Y. Wang received financial support from the National Natural Science Foundation of China [Grants 72172090 and 72572103]; N. Xu received financial support from the National Natural Science Foundation of China [Grants 72225005 and 72495154]; and R. Xie received financial support from the National Natural Science Foundation of China [Grant 72202249] and the Program for Innovation Research in Central University of Finance and Economics. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.09097>.

□ Jia - Spreading the Style Firm Leaders'Early Life Experiences and Employees'Behavior.pdf

7. Portfolio Dynamics and the Supply of Safe Securities

Authors: David X. Xu

DOI: [10.1287/mnsc.2024.07100](https://doi.org/10.1287/mnsc.2024.07100)

Department: Finance

Published: 2026-05-11

Fields & Theories:

- **Fields:** Finance, Financial Intermediation, Asset Pricing
- **Theories:** Industry Equilibrium Model, Portfolio Rebalancing, Risk Sharing Mechanisms

Abstract:

I study dynamic portfolio rebalancing in Collateralized Loan Obligations (CLOs) by developing an industry equilibrium model of nonbank lending, in which CLOs and loan funds arise endogenously in response to a premium for safe securities. When loans deteriorate after issuance, CLOs rebalance their portfolios to maintain collateral quality, which protects senior tranches at the expense of equity investors. This “self-healing” mechanism lowers CLOs’ ex ante funding costs by enabling the issuance of larger safe tranches. As more lenders operate CLOs, their portfolio rebalancing generates greater nonfundamental price pressures, incentivizing other lenders to operate loan funds. Overall, portfolio dynamics facilitate risk sharing across nonbank lenders and increase both total lending and the supply of safe securities relative to static portfolios. This paper was accepted by Lukas Schmid, finance. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.07100>.

□ Xu - Portfolio Dynamics and the Supply of Safe Securities.pdf

8. Crypto Carry

Authors: Maik Schmeling, Andreas Schrimpf, Karamfil Todorov

DOI: [10.1287/mnsc.2024.05069](https://doi.org/10.1287/mnsc.2024.05069)

Department: Finance

Published: 2026-05-06

Fields & Theories:

- **Fields:** Finance, Asset Pricing, FinTech
- **Theories:** Limits to Arbitrage, Inconvenience Yield, Behavioral Finance

Abstract:

We analyze the dynamics of carry in crypto markets—the difference between futures and spot prices—and document that it can reach exceptionally high levels, sometimes exceeding 40% per annum, with significant variation over time. This phenomenon reflects a substantial and volatile inconvenience yield associated with holding spot cryptocurrencies relative to futures. We trace the large and volatile crypto carry to the interplay of two main forces: (i) demand from smaller, trend-chasing investors seeking leveraged exposure and (ii) the limited deployment of arbitrage capital because of regulatory and margin frictions. Our findings highlight how structural limits to arbitrage—especially severe in the case of crypto—can amplify price inefficiencies across financial markets, offering lessons for understanding asset pricing and market behavior more generally. This paper was accepted by Agostino Capponi, finance. Funding: M. Schmeling acknowledges financial support from the German Science Foundation [Grant SCHM 2623/2-1]. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.05069>.

□ Schmeling - Crypto Carry.pdf

9. Soft Collateral, Bank Lending, and the Optimal Credit Registry

Authors: Lixin Huang, Andrew Winton

DOI: [10.1287/mnsc.2023.01327](https://doi.org/10.1287/mnsc.2023.01327)

Department: Finance

Published: 2026-05-05

Fields & Theories:

- **Fields:** Finance, Financial Intermediation, Information Economics
- **Theories:** General Equilibrium Theory, Mechanism Design, Incentive Theory

Abstract:

We study the design of an optimal credit registry in a general equilibrium steady-state setting where borrowers can default strategically and future access to credit markets serves as soft collateral to enforce loan repayment. We endogenize the probabilities for exclusion after default and subsequent reinstatement of clean credit records. When there are sufficient funds, optimal credit stringency is as loose as possible, subject to borrowers' incentive constraints. When there are insufficient funds, credit stringency is driven by the need to equilibrate nonexcluded borrowers with available funds, and it increases as the imbalance grows. We examine how population growth, mortality, and persistence affect our results. Finally, we compare the simple two-tier scheme with the three-tier scheme and characterize solutions to a general N-tier registry. We show that a more graduated registry is not necessarily a better one. This paper was accepted by Will Cong, finance.

□ Huang - Soft Collateral, Bank Lending, and the Optimal Credit Registry.pdf

10. The Information Content of Commodity Futures Markets

Authors: Romulo Alves, Yifan Ma, Marta Szymanowska

DOI: [10.1287/mnsc.2023.00899](https://doi.org/10.1287/mnsc.2023.00899)

Department: Finance

Published: 2026-05-04

Fields & Theories:

- **Fields:** Finance, Asset Pricing, International Business
- **Theories:** Information Discovery, Macro-Financial Linkages, Demand Shocks

Abstract:

Among commodity futures sectors, only industrial metals returns predict future industrial production growth and revisions in producers' expectations about future economic conditions across a wide range of countries. This predictive power is stronger in countries more exposed to the global economy, is driven by demand shocks, persists after controlling for trade dependence, continues to hold after the financialization of commodity markets, and is reflected in international stock returns. In contrast, energy and agriculture futures also contain relevant information but mainly for countries that depend on these commodities through trade. Our findings provide global evidence in support of the informational role of commodity markets and identify industrial metals as a reliable barometer of future global economic activity. This paper was accepted by Lukas Schmid, finance. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2023.00899>.

□ Alves - The Information Content of Commodity Futures Markets.pdf

11. Before the Storm: Firm Policies and Varying Recession Risk

Authors: Ali Kakhbod, Dmitry Livdan, Max Reppen, Tarik Umar

DOI: [10.1287/mnsc.2024.08861](https://doi.org/10.1287/mnsc.2024.08861)

Department: Finance

Published: 2026-05-04

Fields & Theories:

- **Fields:** Corporate Finance, Strategic Management, Risk Management
- **Theories:** Precautionary Savings Theory, Liquidity Management Theory, Firm Size Heterogeneity, Real Options

Abstract:

Recession risk fluctuates substantially “before the storm,” yet little is known about how firms of different sizes adapt their policies accordingly. We embed time-varying recession risk into a model of liquidity management and investment, allowing firms to time their precautionary policies. Estimation reveals that small firms are less sensitive than large firms in their issuance, payout, and investment strategies to variations in recession risk. This is because small firms proactively build larger cash reserves relative to their current cash flow volatility during periods of low recession risk, anticipating that aggressive investment will gradually drain liquidity, grow cash flow volatility, and raise the risk of liquidation if a recession occurs. In contrast, large firms rely on robust cash flows to replenish liquidity during periods of low recession risk, deferring other precautionary actions until recession risk intensifies. These results have important implications for estimating the impact of recessions and macroprudential policy. This paper was accepted by Lukas Schmid, finance. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.08861>.

□ Kakhbod - Before the Storm Firm Policies and Varying Recession Risk.pdf

12. Product Variety and Asset Pricing

Authors: Florin Bidian, Carlos Nunez, Ajay Subramanian, Baozhong Yang

DOI: [10.1287/mnsc.2024.05040](https://doi.org/10.1287/mnsc.2024.05040)

Department: Finance

Published: 2026-04-30

Fields & Theories:

- **Fields:** Asset Pricing, Industrial Organization, Financial Economics
- **Theories:** General Equilibrium Theory, Product Differentiation Theory, Asset Pricing Theory

Abstract:

We develop a general-equilibrium multi-industry model with endogenous product variety and study its implications for asset prices. We estimate the model with both the Generalized Method of Moments (GMM) and the Simulated Method of Moments (SMM) and show that the equity premium and risk-free rate are consistent with empirically reasonable risk aversions and discount factors. The market risk premium increases significantly with the interindustry product complementarity. The model also generates the additional novel predictions that the market risk premium increases with the intraindustry product substitutability, and that industries with more substitutable products have higher excess returns. We show support for these implications in our empirical analysis. This paper was accepted by Agostino Capponi, finance. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.05040>.

□ Bidian - Product Variety and Asset Pricing.pdf

13. Choosing Scenarios to Estimate Resilience and Stress Test Financial Institutions

Authors: Rohit Arora, Rui Gao, Stathis Tompaidis

DOI: [10.1287/mnsc.2024.06126](https://doi.org/10.1287/mnsc.2024.06126)

Department: Finance

Published: 2026-04-30

Fields & Theories:

- **Fields:** Financial Risk Management, Quantitative Finance, Regulatory Policy
- **Theories:** Design of Experiments, Tail Risk Estimation, Stress Testing Frameworks

Abstract:

We provide a systematic, data-driven methodology for choosing test scenarios among a set of potential scenarios. The test scenarios can be used to accurately estimate measures of tail risk of financial institutions, such as conditional value at risk (CVaR), and can also simultaneously be used for stress testing, that is, to identify conditions for large losses. We validate the methodology on historical data used in stress tests by the Commodity Futures Trading Commission and the Federal Reserve and connect it to the design of experiments

methodology with a risk-based objective. The methodology does not require detailed knowledge of financial institutions' portfolios and can aid regulators in evaluating the resilience of multiple institutions using uniform risk assessment standards. This paper was accepted by Giesecke Kay, finance. Supplemental Material: The electronic companion and data files are available at <https://doi.org/10.1287/mnsc.2024.06126>.

□ Arora - Choosing Scenarios to Estimate Resilience and Stress Test Financial Institutions

14. Collaboration, Workplace Practice Adoption, and Performance: Evidence from a Field Experiment

Authors: Francisco Brahm, Jeanne Lafortune, Catherine Magelssen, Jose Tessada

DOI: [10.1287/mnsc.2024.08287](https://doi.org/10.1287/mnsc.2024.08287)

Department: Business Strategy

Published: 2026-04-30

Fields & Theories:

- **Fields:** Strategic Management, Organizational Behavior, Human Resource Management
- **Theories:** Agency Theory, Contingency Theory, Practice Adoption Theory, Collaborative Governance

Abstract:

Many performance-enhancing workplace practices require collaboration between managers and workers for successful adoption. However, managers and workers often have diverging incentives and misunderstandings regarding what needs to be done, impeding collaboration. We conduct a field experiment involving 12,761 small- and medium-sized firms, encouraging collaboration between owners/managers and workers on workplace safety. We find that the treatment increases safety training and reduces the rate and severity of accidents. Further, firms achieve these safety improvements without an increase in the number of workers. We explore heterogeneous treatment effects and find the following: At the managerial level, managers informed about safety yield stronger results; at the firm level, pre-existing intermediate levels of safety practices, low supervisory span of control, and low worker turnover enhance the effectiveness of the collaboration treatment; and at the environmental level, low market competition strengthens the treatment's impact. Overall, we provide evidence on the importance of manager-worker collaboration and its contingencies for practice adoption and performance. History: Accepted by Maria Guadalupe, business strategy. Open Access Statement: This work is licensed under a Creative Commons Attribution 4.0 International License. You are free to copy, distribute, transmit and adapt this work, but you must attribute this work as "Management Science. Copyright © 2026 The Author(s). <https://doi.org/10.1287/mnsc.2024.08287>, used under a Creative Commons Attribution License: <https://creativecommons.org/licenses/by/4.0/>." Funding: This work was supported by the Agencia Nacional de Investigacion y Desarrollo [Grant NC2024-021, M-NEW]. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.08287>.

□ Brahm - Collaboration, Workplace Practice Adoption, and Performance Evidence from a Field.pdf
